INVESTMENT RESEARCH / REFRESH

PLTR · NASDAQ

Palantir Technologies

Q3 2026 Post-Earnings Institutional Re-underwrite

Exceptional operating momentum. A much more difficult question for shareholder returns: what growth is already priced in?

02 November 2026 · Fundamental research · Full re-underwrite of October 30 baseline

WATCH	6 / 10	$133	4 shares
RESEARCH POSTURE*	RESEARCH CONVICTION*	ILLUSTRATIVE BASE DCF	NEW STARTER POSITION

*Equity Research opinion, not a Portfolio CIO status or trading instruction. Reference price $172 for entry-level comparison. Sources, assumptions and limitations inside.

EXECUTIVE INVESTMENT VIEW

Business quality has risen. Price discipline has not become optional.

Palantir delivered $2.313 billion of third-quarter revenue (+96% year on year), U.S. commercial growth of 148%, net-dollar retention of 165%, and a large upward revision to FY2026 revenue and adjusted FCF guidance. **The operating thesis strengthened.** The valuation thesis remains unresolved: even near your $172 entry price, the stock asks investors to capitalize decades' worth of exceptional execution.

Q3 REVENUE	US COMMERCIAL REVENUE	NET-DOLLAR RETENTION
$2.313B	**$984M**	**165%**
+96% YoY · +20% QoQ	+148% YoY	+8 pts QoQ

FY26 REVENUE GUIDE	FY26 ADJUSTED FCF	GAAP OP MARGIN
$8.532B	**$4.9B**	**46.9%**
Midpoint, +$378M	Midpoint, +$0.3B	Versus 61.7% adjusted

> **Research conclusion:** Retain the reported four-share starter (~$688 cost basis) as a learning/participation position. Our updated 10-year adjusted-FCF DCF is **$62 bear / $133 base / $315 bull** per diluted share, with a subjective 25/50/25 weighted value of **$161**. This is *not* a prediction or a fair-value precision claim. The preferred incremental research gate is $135–$150, conditional on the thesis holding; a more attractive margin-of-safety band is $115–$130.

Source posture and decision authority

Official Q3 business update reviewed; Q2 official release used for comparisons; current-news coverage and pre-print estimates sampled November 2. The **verbatim Q3 call transcript and independently verified analyst Q&A are not available** in the retrieved evidence. Commentary from secondary coverage is identified as such, not falsely attributed as a verified transcript. A third-party URL labeled as the November 2 call actually contained Q2 prepared remarks and was excluded. This is a call-completeness limitation, not a reason to pretend the call did not occur.

01 · Changes since prior underwriting

02 · Reported numbers and quality

03 · Call interpretation & debate

04 · Franchise & competitive edge

05 · Guidance and expectations
06 · Valuation and reverse DCF
07 · Portfolio and add gates
08 · Scenarios, catalysts and breakpoints
09 · Sources and methodology

01 / What changed since the October 30 underwriting?

Issue	Prior baseline / estimate	New verified data	Investment implication
Operating momentum	Q2 revenue $1.935B, +93% YoY	Q3 $2.313B, +96% YoY	Positive revision: growth accelerated despite scale
Commercial adoption	Q2 US commercial +149%; NDR 157%	Q3 +148%; NDR 165%	Expansion stronger, growth still extraordinary
Government	Q2 US government +90%	Q3 +96%	Defense/civil demand broadens growth engine
FY2026 revenue	Prior midpoint $8.154B	New midpoint $8.532B	~4.6% guide uplift
FY2026 adj FCF	Prior midpoint $4.60B	New midpoint $4.90B	~6.5% uplift to modeling baseline
Commercial bookings	Q2 US commercial TCV $2.132B, +153% YoY	Q3 ~$1.5B, +11% YoY (press report)	**Contrary evidence:** significant slowdown
Dilution and SBC	Q2 SBC $265M; earlier DCF 2.40B assumed shares	Q3 SBC $319M; adjusted diluted EPS denominator ~2.574B	Higher economic denominator reduces per-share value

Sources: primary Palantir Q3 presentation, Q2 release and Investors Business Daily commercial TCV reporting. Q3 TCV is a contract-duration/option-weighted metric, not equivalent to revenue or RPO. The old 2.40B valuation share assumption was not a fully diluted share tally.

02 / Quarter diagnostics and earnings quality

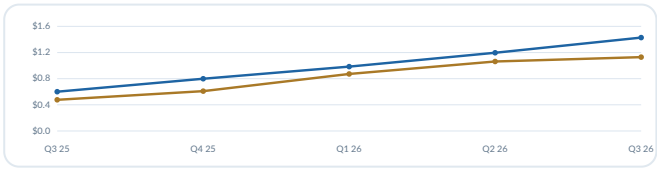
Q3 KPI	Reported	Benchmark	Our interpretation
Revenue	$2.3134B	Street ~$2.18B; prior guide ~$2.162B	~6.1% / ~7.0% respective beat
U.S. commercial	$984M, +148% YoY	Q2 $764M	+28.8% sequential: scaling workloads
U.S. government	$953M, +96% YoY	Q2 $809M	+17.8% sequential; large programs matter
Overall customers / US commercial	1,090 / 686	Q2 1,049 / 653	+3.9% / +5.1% sequential; expansion is dominant
GAAP operating income	$1.0848B	46.9% GAAP margin	Underlying profitability real, though SBC large
Adjusted op income	$1.4268B	61.7% adjusted margin	Excludes SBC and related payroll taxes
GAAP / adjusted EPS	$0.44 / $0.44	Consensus normalized EPS ~$0.41	~7.3% beat; EPS definitions require care
Operating cash / adjusted FCF	$1.2046B / $1.2161B	52.1% / 52.6% margins	Positive cash conversion; $8M capex is tiny
Billings	$2.4544B	Q2 $2.0719B	+18.5% sequential; partly contract-liability driven

Quarterly revenue ($B)



Total US commercial

Quarterly profitability ($B)



Adjusted operating GAAP net income

EPS-quality bridge: GAAP profitability versus economic value

Q3 GAAP operating income was **$1,084.845M**. Add **$318.889M** of stock-based compensation and **$23.106M** of associated employer taxes to arrive at **$1,426.840M** adjusted operating income. SBC increased about **20.2%** sequentially and was **13.8%** of revenue. Adjusted FCF adds back $19.521M employer payroll taxes and deducts $8.014M capex from $1,204.570M operating cash flow. These disclosures are transparent but warrant a higher haircut in economic-owner underwriting.

> **Material distinction:** reported GAAP and adjusted EPS both round to $0.44, yet the $327.7M non-GAAP income-tax adjustment offsets most add-backs. Similar rounded EPS is *not evidence* that employee-equity compensation has no cost. The Q3 diluted share denominator of ~2.574B also differs from approximately 2.40B basic/outstanding market-data shares used for enterprise value.

Official source: reconciliation slides (gross profit $1.930B, GAAP operating $1.085B, adjusted operating $1.427B, billings $2.454B). Multi-quarter gross-profit and comparable normalized-EPS source series not independently obtained, so no potentially misleading five-quarter charts are displayed.

03 / Post-call management interpretation — evidence and debate map

What can be established: November 2 press coverage attributes the results to enterprise demand for governed / sovereign AI, bootcamp-driven sales activity and customer conversion beyond pilots. The company's public materials substantiate 64 deals of at least $10M and 165% NDR. **What cannot yet be established:** precise Q3 analyst questions and executive answers, customer-specific cohort economics, the explanation for weaker commercial TCV, and an explicit 2027 company guide. We do not fabricate a Q&A transcript.

Call theme / source	Read-through	What would falsify it?
Management stresses sovereign AI and customer data/model control (Barron's post-release coverage)	Potential enterprise differentiation at the ontology/security workflow layer rather than the model itself	Hyperscalers or model vendors deliver equivalent governance at lower incremental cost
Customer bootcamps are supporting commercialization (secondary coverage)	Could accelerate lead-to-production conversion and expansion	Slower new logo growth and weak contract conversion persist for 2–3 quarters
Government and commercial each materially expanded (company release)	Reduces reliance on one budget channel; nevertheless U.S. accounts for ~84% of revenue	Major government award delays or weaker commercial backlog follow-through
US commercial bookings growth fell to +11% (IBD report)	Timing of big deals or a leading indicator of slower future growth: unresolved	Revenue expansion slows and TCV remains weak through H1 2027

Call source caveat: the 2026-11-02-tagged Bullfincher transcript reproduces Q2 2026 commentary (93% revenue growth, Q3 guidance), so it was explicitly excluded. The original webcast is linked at Palantir IR events. This report is post-print and informed by public post-call coverage, but no line-by-line Q3 Q&A validation is claimed.

04 / Competitive position and the business being underwritten

Why the moat may persist

Gotham and defense software operate in restricted environments; Foundry integrates operational data with reusable ontology; AIP adds models, agents, governance and workflow deployment. Tight integration, security approvals and forward-deployed engineers create switching costs as customer applications spread.

U.S. commercial NDR at 165% indicates established customers are spending much more, while +148% U.S. commercial growth shows new deployments and expansion at unusual scale.

How the moat can erode

Model providers, cloud platforms (Azure/AWS/Google Cloud), Salesforce, ServiceNow, Snowflake and Databricks can compete for agents, connectors and enterprise workflow budgets. Client-led open standards might reduce vendor lock-in. Sales friction, bespoke deployment and political procurement constraints limit international scale.

Moat strength is not a license to capitalize current margins indefinitely.

Business mix: Q3 total commercial $1.17B (~50.4% of $2.313B), total government $1.15B (~49.6%); U.S. commercial $984M and U.S. government $953M. U.S. sales ~$1.94B, ~84% of total. International revenue increased ~26% per Barron's reporting, materially slower than the U.S.; geography remains concentrated.

Capital allocation: $10.4B in cash, cash equivalents and U.S. Treasuries, no debt at quarter end. Very low capex and high operating leverage support a cash-rich balance sheet, although equity grants dilute the economic claim and large government contract awards carry option and cancellation risk. No buyback assumption is included in this model.

05 / Outlook, consensus bar and operating model

Measure	Old guidance	Q3 revised guidance	Change at midpoint
FY2026 revenue	$8.150–8.158B	$8.530–8.534B	+$378M, +4.6%
FY2026 adjusted operating income	$4.889–4.897B	$5.245–5.249B	+$354M, +7.2%
FY2026 adjusted FCF	$4.5–4.7B	$4.8–5.0B	+$300M, +6.5%
FY2026 U.S. commercial	>$3.424B (+134%)	>$3.559B (+143%)	+$135M threshold
Q4 2026 revenue	Not guided in Q2 materials	$2.649–2.653B	~7.8% above ~$2.46B street

At the revised FY2026 revenue midpoint, year-on-year growth versus 2025's ~$4.475B is about **91%**. The pre-print FY2027 revenue consensus around **$12.36B** implies **44.9%** revenue growth; adjusted EPS consensus around **$2.35** implies ~46% EPS growth versus pre-print FY2026 $1.61. This consensus is *not post-print revised* and will likely change.

> **Key question for 2027:** New guidance and commercial NDR support upward estimate risk, but one quarter of +11% US commercial TCV growth does not yet demonstrate an equally strong forward sales funnel. FY2027 is an analyst model/consensus exercise, *not* formal company guidance.

06 / Valuation: forward multiples, DCF and reverse DCF

AT USER ENTRY $172

47.2×

FY26 EV / sales

AT USER ENTRY $172

32.6×

FY27 pre-print EV / sales

AT USER ENTRY $172

73×

FY27 non-GAAP EPS, pre-print

Enterprise values use approximately 2.40B market-data shares outstanding and $10.4B net cash, while per-share DCF values use the more conservative ~2.574B weighted-average diluted adjusted-EPS denominator. These are *different share definitions on purpose*. At the reference regular-session ~$184.36, EV is ~$432B and FY26 EV/sales ~50.6x. At $172, market cap ~$412.8B and EV ~$402.4B, with adjusted-FCF yield ~1.19%.

Illustrative 10-year adjusted FCF DCF

Scenario	FY27 FCF growth	2036 growth	Per-share DCF	Vs $172 cost	Terminal share of EV
Bear	27%	5%	$62	-64%	56%
Base	55%	7%	$133	-23%	61%
Bull	75%	13%	$315	+83%	68%

Exact assumptions: FY2026 adjusted-FCF midpoint $4.9B as cash-generation starting point; 10 explicit annual cash-flow years FY2027–FY2036; 10.5% annual discount rate; 3.0% terminal growth; +$10.4B net cash; divide by 2.574B dilution-adjusted EPS shares. Growth starts at 27% / 55% / 75% in FY2027 under bear/base/bull respectively, gliding to 5% / 7% / 13% in 2036. These are **analyst assumptions, not company forecasts**. See growth schedules and formulas in methodology.

> **Weighted scenario outcome:** 25% bear + 50% base + 25% bull = **$161/share**. The broad dispersion is the message: minor shifts in durable growth/terminal discounting produce very different valuations. The base value is roughly **-23%** versus the $172 purchase price; weighted value is roughly **-6%**.

Reverse DCF: what must $172 deliver?

Holding the above discount rate, 3% terminal growth, $10.4B net cash and 2.574B diluted shares constant, a $172 share price requires approximately **28.7% annually compounded adjusted FCF growth for a full decade** under a deliberately stylized *constant-growth* path. At the $184.36 regular-session reference, the growth hurdle is ~29.7%.

Economic SBC sensitivity: Q3 stock compensation annualized = ~$1.28B. If the initial $4.9B adjusted-FCF anchor is conservatively reduced by that amount, the base case drops to **$100** and the constant-growth hurdle at $172 rises to **33.0%**. This is a *replacement-cost proxy* sensitivity, not a second cash expense mandated by GAAP. Using an SBC cash haircut *and* an extensive dilution haircut may count the same economic cost twice, so the two approaches should be evaluated as alternatives rather than summed mechanically.

Discount-rate sensitivity — base growth path

Discount rate	2.0% terminal	3.0% terminal	4.0% terminal
9.5%	$143	$157	$176
10.5%	$123	$133	$146
11.5%	$108	$115	$124

PEG: about 1.6x mechanically at $172 using ~$2.35 FY2027 non-GAAP EPS and ~46% one-year EPS growth. Not decision-grade: GAAP/non-GAAP definitions, tax normalization and likely post-print revisions can distort the ratio. Historical PLTR EV/sales ~70x TTM at the October 30 close from the prior underwrite; the repricing to ~$172 makes the multiple lower but still extreme. Comparable enterprise-software peers (MSFT, NOW, CRWD, SNOW) differ dramatically in growth, profitability and contract economics; an unverified peer numeric multiple is intentionally not invented.

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07 / New position and capital-allocation decision

USER-REPORTED HOLDING
4 shares
Opened after canonical export

APPROX. COST PER SHARE
$172
Assumed purchase price

APPROX. TOTAL BASIS
$688
Excludes fees and account details

The canonical **retirement-portfolio-66.xlsx** (manifest dated October 29, 2026) designated 0 direct PLTR shares in its holdings derivative. Your **later transaction** adds 4 shares at about $172. This is a post-snapshot adjustment, **not a checksum-validated replacement workbook**. We do not assert an exact updated portfolio weight or alter the canonical baseline. The original v66 workbook bytes were not independently available to validate checksum `9d48ebeb…c45e`.

Share-price condition	Research action gate	Why
Above $175	HOLD starter / do not chase	DCF asymmetry unappealing despite exceptional growth
$155–175	Monitor / optional tiny tactical adds only with catalyst	Upside depends on bullish case; no automatic averaging
$135–150	**Preferred staged-add research gate**	Approaches illustrative base valuation; confirm Q4 / bookings
$115–130	Deeper margin-of-safety gate	Not automatically a buy if thesis is breaking
Any price if thesis breaks	Review / potentially exit	A lower quote does not repair lost demand advantage

Portfolio fit: before adding more capital, consider correlated AI exposures already identified in the v66 portfolio research (MSFT/AMZN/GOOG/NVDA/AVGO/TSM). PLTR offers differentiated software exposure but does not reduce the portfolio's long-duration AI/growth-factor sensitivity. Four shares is therefore an appropriate research position; a material scale-up should be evaluated against the next-best capital-allocation candidate, not against $172 anchoring alone.

08 / Risks, catalysts, falsifiers and research conclusion

Upside path

- Existing customer expansion stays above 145% NDR.
- Commercial contract value re-accelerates into FY2027.
- Government production awards convert into recurring mission revenue.
- Margins remain strong even including a meaningful SBC cost.
- Platform/ontology becomes a de facto layer for sovereign enterprise agents.

Downside path

- Commercial bookings weakness precedes revenue deceleration.
- LLM labs and hyperscalers reduce platform pricing power.
- Large-contract concentration or government options disappoint.
- International procurement/geopolitical controversy restricts adoption.
- Long-dated discount-rate pressure compresses the premium multiple.

Next checkpoints — what changes our decision?

1. **Q4 FY2026 earnings (expected early 2027; exact date not yet confirmed):** management's $2.649–2.653B revenue guide; degree of beat; margin and billings cash conversion.
2. **FY2027 outlook:** whether formal guidance validates >45% sustained revenue growth and credible EPS/FCF conversion.
3. **Commercial TCV and remaining deal value:** distinguish timing from a genuine sales-funnel break; watch US commercial TCV growth and RPO simultaneously.
4. **Retention and customer cohorts:** NDR 165%, commercial customer additions and evidence bootcamps become production contracts.
5. **SBC and dilution:** employee equity expense/revenue and next reported diluted share denominator.
6. **Government execution:** Maven/TITAN production ramp, contract options and budget scrutiny.

> **Proposed thesis-break conditions for CIO review:** (a) two consecutive quarters with US commercial revenue growth below ~65% without a credible mix offset; (b) NDR below 125% or repeated customer contraction; (c) GAAP operating margin below 30% alongside decelerating growth; (d) material government program cancellation or security failure; (e) equity dilution or SBC intensity reverses operational leverage; (f) persistent conversion/billings weakness shows AIP deployments are not durable. These are analyst gates, not automatic sell triggers.

Company Quality	**9 / 10**
Valuation Attractiveness at ~$172	**3 / 10**
Portfolio Fit (small starter)	**6 / 10**
Overall research conviction	**6 / 10 · WATCH**

Research conclusion: the commercial AI franchise is proving stronger than the prior underwriting assumed, but valuation remains too demanding to make a material post-print purchase compelling at ~$172 without improved forward-contract visibility. The 4-share starter has favorable behavioral economics (learning and participation with capped capital commitment); we prefer preserving optionality for $135–$150 or a higher price only if validated FY2027 revisions materially raise intrinsic value. A formal portfolio recommendation/thesis-status change belongs to the Portfolio CIO, not this research report.

09 / Evidence ledger, calculations and limitations

1. **Primary Q3:** Palantir Q3 2026 Business Update, Nov 2, 2026. Source for reported GAAP/non-GAAP financials, growth, customer counts, shares, free cash flow and guidance.
2. **Prior baseline:** Palantir Q2 2026 SEC-hosted earnings release, Aug 3. Prior guidance and KPI comparison.
3. **Current consensus:** Yahoo Finance estimates (pre-print snapshot, accessed Nov 2) and Reuters November 2 release coverage. Provider definitions can differ.
4. **Bookings contrary evidence:** Investor's Business Daily, Nov 2; US commercial TCV growth +11% versus +153% prior quarter, $1.5B vs $2.132B. Requires primary filing/replay cross-check.
5. **After-hours context:** Barron's, Nov 2; price ~$171.66 at a quoted moment; not treated as a finalized session close. Reference regular-session $184.36 from market-data provider (may be delayed) / third-party. User-reported $172 basis authoritative for transaction only.
6. **Call availability:** Palantir IR Q3 webcast event. A reliable Q3 verbatim transcript with exact Q&A was not independently retrievable. Prior-quarter transcript mislabeling excluded.
7. **Existing research:** prior PLTR October 30 re-underwrite recorded in repository research and report registries; $184.11 last close, prior adjusted-FCF DCF $73 bear/$156 base/$339 bull with 2.40B modeled shares, prior conditional $145–160 add range.
8. **Canonical portfolio:** GitHub `agent-state/portfolio/manifest.json` designated `retirement-portfolio-66.xlsx` as of Oct 29. Derived holdings listed PLTR 0 shares prior to new transaction; exact workbook bytes unavailable for SHA-256 independent QA.

Model reproducibility

Projection years FY2027–FY2036. Starting adjusted FCF $4.9B. For year t, FCF[t]=FCF[t−1]×(1+g[t]); PV[t]=FCF[t]/(1.105)^t; terminal PV=FCF[2036]×1.03/(0.105−0.03)/(1.105)^10. Per-share value=(sum 10 PVs+terminal PV+$10.4B)/2.574B. **Bear:** 27%, 22%, 19%, 15%, 12%, 10%, 8%, 7%, 6%, 5%. **Base:** 55%, 43%, 35%, 28%, 22%, 18%, 14%, 12%, 9%, 7%. **Bull:** 75%, 63%, 52%, 44%, 36%, 30%, 25%, 20%, 17%, 13%. No leverage, buyback, acquisitions or new option exercise proceeds modeled. Shares and terminal value are major sensitivities.

Investment research, not individualized financial, tax or execution advice. The calculations are scenario illustrations rather than audited financial forecasts. Published November 2, 2026. Earnings-call transcript verification and FY2027 estimate refresh remain important outstanding inputs. Publication status: research artifact for user review; not approved for OpenAI or Claude PCC.